Chapter summary

Familiarising yourself with **items in green** is important for effective revision.
Paying attention to items in the 📝 boxes is helpful for understanding the concept(s).

17.1 Aggregate Demand

Meaning of aggregate demand

- **Aggregate demand** (AD) refers to the total demand for all goods and services in an economy at all given price levels in a given period of time.
- The aggregate demand curve shows the relationship between the price level and the total quantity of output demanded (i.e. real GDP or real national income, Y), *ceteris paribus*.

Total quantity of output demanded (Y)
= Private consumption expenditure (C) + Investment expenditure (I) + Government expenditure (G) + Net exports (NX)

Reasons for a downward-sloping aggregate demand curve

- The aggregate demand curve is downward sloping.

Reason	Explanation
Wealth effect (Real balance effect)	Price level ↓ (↑) → purchasing power of money ↑ (↓) → real value of assets ↑ (↓) → purchases of goods and services ↑ (↓) → total quantity demanded of goods and services ↑ (↓)
Interest rate effect	Price level ↓ (↑) → money held for transactions ↓ (↑) → interest rate ↓ (↑) → consumption and investment expenditures ↑ (↓) → total quantity demanded of goods and services ↑ (↓)
Net exports effect (Exchange rate effect)	Domestic price level ↓ (↑) → imports becomes relatively more expensive (cheaper) and exports becomes relatively cheaper (more expensive) → quantity demanded of imports ↓ (↑) and quantity demanded of exports ↑ (↓) → net exports ↑ (↓) → total quantity demanded of goods and services ↑ (↓)

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17.2 Factors Affecting Aggregate Demand



A decrease in the general price level will cause the total quantity of output demanded instead of the aggregate demand to increase.

- **When aggregate demand increases (decreases), the AD curve shifts to the right (left).**
- Major factors affecting aggregate demand

Component	Major factors	Effect
Private consumption expenditure (C)	- disposable income ↑ (↓) - desire to save ↓ (↑) - wealth (value of assets) ↑ (↓) - interest rate ↓ (↑) - consumer confidence ↑ (↓)	C ↑ (↓) → AD ↑ (↓)
Investment expenditure (I)	- optimism about business prospects ↑ (↓) - interest rate ↓ (↑) - profits tax rate ↓ (↑) - income of the economy ↑ (↓)	I ↑ (↓) → AD ↑ (↓)
Government expenditure (G)	- funds available ↑ (↓) - number of new government policies ↑ (↓)	G ↑ (↓) → AD ↑ (↓)
Net exports (NX)	- economic conditions of trading partners get better (get worse) - exchange rate of domestic currency ↓ (↑) - number of protectionist policies ↑ (↓)	NX ↑ (↓) → AD ↑ (↓)

17.3 Aggregate Supply

Meaning of aggregate supply

- **Aggregate supply** (AS) refers to the total amount of goods and services produced by firms in an economy at all given price levels in a given period of time.
- The aggregate supply curve shows the relationship between the price level and the total quantity of output produced, *ceteris paribus*.

The short run and the long run in macroeconomics

- The **short run** refers to the situation in which at least some people in the economy do not fully recognise and adjust to changes in economic conditions.
- The **long run** refers to the situation in which all people in the economy fully recognise and adjust to changes in economic conditions.

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Reasons for an upward-sloping short run aggregate supply curve

- The SRAS curve is upward sloping.
- **Imperfect adjustment of input prices**:
  - When the general price level increases, **the adjustment of input prices is imperfect or slow**.
  - Output prices will increase faster than input prices, making it profitable for firms to produce more output.
  - **Real cost of production will decrease**.
  - Firms will increase their inputs to produce more outputs.
- **Imperfect adjustment of output prices**:
  - When the general price level increases, some firms cannot change output prices instantly because there are costs incurred/prices cannot be adjusted when they have a long-term contract with consumers.
  - The sales of these firms will increase and stock will decrease. They will increase the quantity supplied of output.

Reasons for a vertical long run aggregate supply curve

- The vertical LRAS curve is **located at the full-employment output level/ potential output level**.
- In the long run, the aggregate output supplied is independent of the price level.
- In the long run, **there is perfect information** and **all people in the economy fully recognise and adjust to changes in economic conditions**. Prices are fully adjustable. The same level of output (i.e. the full-employment output level) is produced at every price level.

17.4 Factors Affecting Aggregate Supply

Factors affecting aggregate supply in the short run

- **When there is an increase (a decrease) in short run aggregate supply, the SRAS curve shifts to the right (left)**.

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- Major factors affecting short run aggregate supply:

Factor	Explanation
Cost shocks	A decrease (an increase) in the cost of production ➔ will lead to an increase (a decrease) in short run aggregate supply
Government policies that only have short run effects on the total quantity of goods and services supplied	For example, a decrease (an increase) in sales tax ➔ will lead to an increase (a decrease) in short run aggregate supply
Firms' expectations of the future price level	If firms expect the future price level to decrease (increase) ➔ short run aggregate supply will increase (decrease)
Other factors	For example, labour strikes ➔ will lead to a decrease in short run aggregate supply

Factors affecting aggregate supply in both the short run and the long run

- **When there is an increase (a decrease) in long run aggregate supply, the LRAS curve will shift to the right (left).**
- Factors affecting the quantity and/or quality of resources will affect both short run aggregate supply and long run aggregate supply.
- Major factors affecting both short run and long run aggregate supply



The full-employment output level increases when long run aggregate supply increases.

Factor	Explanation
Factor endowments	An increase (A decrease) in the quantity and/or quality of capital, labour and natural resources ➔ will lead to an increase (a decrease) in both short run aggregate supply and long run aggregate supply
Level of technology	A technological improvement in production raising an economy's productivity ➔ will lead to an increase in both short run aggregate supply and long run aggregate supply
Government policies that have long run effects on the total quantity of goods and services supplied	Government policies that raise the quantity and quality of factor endowment, and the level of technology ➔ will lead to an increase in both short run aggregate supply and long run aggregate supply

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